

Outlook 2026: Could the market power into higher gear this year?

With the current bull market entering its fourth year, the Chief Investment Office believes the long-term growth story is far from over. Here's what could continue to drive momentum.

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market's resilience?

“From energy grids and data centers to defense systems and digital platforms, power is driving the global economy — and shaping the outlook for 2026.”

— **Chris Hyzy**,
Chief Investment Officer, Merrill and Bank of America Private Bank

Chris Hyzy, Chief Investment Officer for Merrill and Bank of America Private Bank, believes the U.S. economy and financial markets are powering up for a new level of potential growth. “From energy grids and data centers to defense systems and digital platforms, power is driving the global economy — and shaping the outlook for 2026,” he says.

Below, find answers from the Chief Investment Office (CIO) and BofA Global Research to four top-of-mind questions about the potential risks and opportunities ahead. Plus, test your knowledge of current market dynamics. For additional useful insights and lively conversation, watch the Outlook 2026 webcast **“Powering up: What could drive the next era of growth?”**

1. What's next for year four of this bull market?

“The U.S. economy is firing on all cylinders,” says Joe Quinlan, head of Market Strategy for the CIO, who cites six reasons equity prices could potentially keep advancing:

- **Resilient consumer spending.** Lower-income households are beginning to struggle with rising costs, but wealthier individuals and families, who account for more than half of consumer outlays, have been buoyed by investment gains and rising home values, a report by the Bank of America Institute notes. ¹ What's more, strong spending by retiring baby boomers is providing a boost for the economy, helped in part by

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construction of office buildings,” says Quinlan.

- **The One Big Beautiful Bill Act.** Last summer’s passage of this sweeping legislation provides capital depreciation allowances for companies and other tax advantages that should help fuel still more capital expenditures in 2026.
- **The decline of the U.S. dollar.** For U.S. exporters and multinational companies with overseas operations, a dollar that is losing value against other currencies helps drive earnings growth by boosting the competitiveness of U.S. goods and services.
- **Rebounding global economic growth.** Many countries have responded to U.S. tariffs and trade frictions by redoubling their own efforts to expand their economies, cutting interest rates to spur growth. As a result, the global economy is accelerating as 2026 begins.
- **Expected further cuts by the Federal Reserve.** “We’re in the mid-innings of a Fed easing cycle, which is typically very bullish for equities,” Quinlan says.

Against that backdrop, investor sentiment could provide yet another tailwind. Hyzy calls this an “owl market,” with cautious investors watching and waiting. As their enthusiasm increases, they could deploy the considerable amounts of cash sitting on the sidelines, helping propel the market to further gains.

Risks to watch for: Amid trade tensions, corporations are likely to pass more tariff-related costs along to consumers, and that could affect spending by individuals and corporations. Sustaining the boom in spending on AI and finding ways to profit from those investments add uncertainty, while the impact of the longest U.S. government shutdown in history could linger.



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True or false: The fourth year of a bull market is historically one of its weakest, as economic growth flags, corporate profits decline and investors lose confidence.

True

+

False

+

2. Can strong corporate earnings and stock prices continue their upward push, or are valuations already too high?

Through most of 2025, companies reported profits that exceeded expectations, providing a tailwind for much of the market. Despite investor concerns about high valuations — and the potential for prices to retreat to levels more in line with historical averages — the forces driving those healthy earnings are still in place, says Hyzy. That includes the health of the U.S. consumer, the key to profits at many companies.

“When equity prices go up faster than earnings, profits may catch up. The market could be signaling the further increase in earnings we expect to see in 2026.”

— **Matthew Diczek**

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profit reacceleration,” says Hyzy. “Looking ahead, we expect a solid upward drift in profits.”

Hyzy believes the private sector will lead the way in the year ahead. “Company balance sheets are healthy,” he says. “Corporations have lower debt than they have traditionally had, and that means much of the current boom in capital expenditures has been able to fuel itself with cash.”

As long as companies keep workers employed, demand for products and services should remain strong, and that can help support a continued rise in corporate earnings. While news of AI-driven layoffs is something to keep an eye on, for now, says Hyzy, “the job market is still in balance, with the number of job openings matching the supply of workers to fill them.”

Risks to watch for: As strong as earnings have been, stock prices have risen even more quickly, pushing the P/E ratio of the market to what some consider perilously high levels. This is something to track closely, notes Matthew Diczok, head of Fixed Income Strategy for the CIO. “Yet keep in mind that the stock market is a leading economic indicator,” he says. “When equity prices go up faster than earnings, profits may catch up. The market could be signaling the further increase in earnings we expect to see in 2026.”



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True or false: The price-to-earnings (P/E) ratio for the S&P 500 was 22.7 in late October. That’s above the five- and 10-year average P/E ratios for the index.

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3. What are some of the potential big new opportunities that could drive growth in 2026?

Modernizing electrical grids and developing new energy sources to power [artificial intelligence](#) (AI) and other emerging technologies are central to what BofA Global Research describes as the largest economic growth story of our time. “It’s about mobilizing capital to meet the \$30 trillion opportunities and risks of a rapidly changing world,” says Haim Israel, head of Global Thematic Investing, BofA Global Research. For investors, this means looking at themes that support an era of energy transition.

“The U.S. allocated about \$55 billion in 2025 to develop emerging technologies in space, command and control communications, computers and intelligence systems.”

— Lauren Sanfilippo,
senior investment strategist, Chief Investment Office, Merrill and Bank of America Private Bank

Demand for electricity to power data centers and other infrastructure needed to support the explosive growth of AI is expanding rapidly, with global growth in demand for electricity rising a record 4.3% in 2024, a big jump from the 2023 increase of 2.5%.⁵ Renewable sources are likely to fill much of the gap. In 2024, global investment in clean energy totaled \$2.2 trillion, while fossil fuel investments dipped for the first time since 2020.⁶ Yet U.S. policy changes favoring traditional energy sources are likely to lead to sharp reductions in U.S. investments in wind power, solar and energy storage through at

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With the U.S. and nations around the world responding to heightened geopolitical tensions, defense is another potential area to focus on. Lauren Sanfilippo, senior investment strategist for the CIO, cites a new “security supercycle” that spans everything from “traditional aerospace and defense systems to cybersecurity, drones, AI-driven defense shields, hypersonics and satellite networks.” Military buildups in other countries have added to the global demand for arms and munitions, while investments in emerging technologies are also surging. “The U.S. allocated about \$55 billion in 2025 to develop emerging technologies in space, command and control communications, computers and intelligence systems, while Japan invested \$3.6 billion on missile defense against hypersonic and ballistic missile threats,” Sanfilippo says.⁸

Risks to watch for: Sanfilippo urges caution about the valuations of U.S. and European defense stocks, many of which are now trading at a premium. Given the recent downturn in U.S. investment in renewables, the CIO believes that adding sufficient capacity in electricity generation to meet demand is likely to require a mix of solar, wind, natural gas and nuclear.



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True or false: AI's hunger for power is reshaping energy markets — data centers alone could drive as much as 5% of new electricity capacity by 2030.

True



False



4. How far could the Federal Reserve cut rates?

After reducing interest rates three times in late 2024, the Federal Reserve chose to keep rates steady through most of 2025 amid concerns that tariffs and other factors could rekindle inflation. But in September, after the economy added only 22,000 jobs in August,¹⁰ the Fed cut rates by a quarter of a percentage point, followed by another quarter-point rate cut in October. “The Fed has two goals — stable prices and maximum employment,” Diczok says. “For now, at least, inflation is taking a back seat to the cooling labor market.” While another cut in December is no sure thing, the CIO expects perhaps three further reductions in the second half of 2026.

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What's more, Marci McGregor, head of Portfolio Strategy for the CIO, notes that falling interest rates may be particularly helpful for small companies. "Since 1990, following Fed easing, [small caps have outperformed large caps](#) on average in both the near and longer term," she says.

Risks to watch for: For [fixed-income investors](#), the likelihood of additional interest rate cuts in 2026 brings the risk of lower bond yields and reduced income. That could motivate additional bond purchases now, to lock in better rates, although the CIO is currently neutral across all fixed-income sectors. Notes Hyzy: "Putting money into longer-term bonds before rates drop further could help you diversify equity risk with higher, more stable income."



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True or false: Decisions to increase, reduce or maintain interest rates are voted on by the 12 members of the Federal Reserve's Federal Open Market Committee (FOMC). The Fed chair, like the other 11, has only one vote.

True



False



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“Take advantage of a wide range of industries, capitalizations and geographic locations.”

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Diversifying your portfolio is more important than ever as you look ahead to the coming year, Hyzy says — being broadly exposed to many kinds of investments can help tamp down volatility and prepare for unforeseen events. That may mean adding value-oriented assets, including in defensive sectors such as consumer staples and healthcare, as well as small caps. “Take advantage of a wide range of industries, capitalizations and geographic locations,” says Hyzy, who suggests considering thematic portfolio additions in defense, power generation and other areas of rising global demand that have the potential for outsized long-term growth.

“Diversification works when we need it most,” Hyzy adds, “and it could be needed more than ever as you look to integrate thematic, long-term investments with your core portfolio to power your investments into a new era of growth.”

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¹ Bank of America Institute, “Consumer Checkpoint: The tale of two wallets,” October 10, 2025.

² Bank of America Institute, “Paychecks to pensions: The evolution of retiree spending,” November 4, 2025.

³ Bloomberg, Yardeni Research, CFRA Research. Data as of October 10, 2025.

⁴FactSet, “Earnings Insight,” October 24 and October 27, 2025.

⁵IEA, “Global Energy Review, 2025.”

⁶ IEA, “World Energy Investment 2025,” IEA, June 2025.

⁷BloombergNEF, “Trump Slams the Brakes on US Wind and Solar Growth,” July 22, 2025.

⁸United Nations, “The Security We Need: Rebalancing Military Spending for a Sustainable and Peaceful Future,” August 2025.

⁹IEA, “Energy and AI,” April 2025.

¹⁰U.S. Bureau of Labor Statistics, “The Employment Situation — August 2025,” September 5, 2025.

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